

Protective Covenants (*Continued*)

Prohibition of Prior Liens. A brief discussion is desirable regarding certain protective provisions other than those dealing with the ordinary events of default. (The matter of safeguarding conversion and other participating privileges against dilution will be covered in the chapters dealing with Senior Securities with Speculative Features.) Dealing first with mortgage bonds, we find that indentures almost always prohibit the placing of any new prior lien on the property. Exceptions are sometimes made in the case of bonds issued under a reorganization plan, when it is recognized that a prior mortgage may be necessary to permit raising new capital in the future.

Example: In 1926 Chicago, Milwaukee, St. Paul, and Pacific Railroad Company issued \$107,000,000 of Series A Mortgage 5% bonds and, junior thereto, \$185,000,000 of Convertible Adjustment Mortgage 5s, in exchange for securities of the bankrupt Chicago, Milwaukee, and St. Paul Railway Company. The indentures permitted the later issuance of an indefinite amount of First and Refunding Mortgage Bonds, which would rank ahead of the Series A Mortgage 5s.¹

Equal-and-Ratable Security Clause. When a bond issue is unsecured it is almost always provided that it will share equally in any mortgage lien later placed on the property.

Example: The New York, New Haven, and Hartford Railroad Company sold a number of debenture issues between 1897 and 1908. These bonds were originally unsecured, but the indentures provided that they should be equally secured with any mortgage subsequently placed upon the property. In 1920 a first and refunding mortgage was author-

¹ In 1933 the St. Paul was granted permission to issue some of the new first and refunding bonds, to be held as collateral for short-term loans made by the United States government.